

Notes: Bénabou & Tirole (JPE, 2026)

Laws and Norms

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1 Big picture

- **Question.** How should we think jointly about *laws*, *material incentives*, and *social norms*? When should policy rely on stronger incentives, when should it rely on weaker ones, and when does the law work mainly by *signaling society's values*?
- **Setting.** The paper is a unified theory paper. It studies a continuum of heterogeneous agents who choose whether to undertake a prosocial action, care about intrinsic motives and social image, and respond to incentives chosen by a principal (government, firm, or other policymaker).
- **Core challenge.** Standard economics treats policy mainly as a price system. But behavior is also shaped by honor, stigma, social approval, and what people infer from the law itself. A model of optimal policy therefore has to combine *direct incentives*, *equilibrium social pressure*, and *the information conveyed by policy choices*.
- **Main conceptual contribution.** The paper provides one framework that integrates:
 - intrinsic motivation,
 - extrinsic incentives,
 - endogenous honor and stigma,
 - expressive law,
 - and direct norms-based interventions.

The two key objects are a **social multiplier** and an **informational multiplier**.

- **Main hypotheses.**
 - Incentives can crowd out or crowd in prosocial behavior depending on whether social pressure comes mainly from *honor* or *stigma*.
 - Optimal policy must correct not only standard externalities but also the zero-sum image rents created by reputation seeking.
 - When the principal is better informed than agents, the law becomes expressive: the level of incentives signals information about norms, values, or externalities.
- **Main model design.** Under symmetric information, agents choose a binary prosocial action and a principal chooses incentives. Under asymmetric information, the principal privately knows an aspect of the social environment, so the incentive itself becomes a signal that shapes beliefs and behavior.
- **Main symmetric-information result.** The optimal Pigouvian subsidy is *smaller* than the standard externality correction because one must subtract the **reputational rent** that a contributor extracts from society. With costly incentives, the second-best policy is further reduced by a Ramsey term.
- **Key heterogeneity result.** The optimal incentive is **hump shaped**. It is lowest for behaviors that are already very rare and honorable or already very common and stigma-enforced, and highest in the gray zone where social pressure is weakest.

- **Key expressive-law result.** Under asymmetric information, the law should be **softened** when it signals strong social norms or high societal prosociality, but **toughened** when it signals large externalities.
- **Main credibility result.** The paper characterizes when expressive law can separate, when it must pool, and when no separating equilibrium exists at all. So the paper does not just assert that law is expressive; it shows exactly when that claim is equilibrium-consistent.
- **Economic takeaway.** Policy is not just about setting prices. It also changes how people judge one another and what they infer about society. Optimal law therefore depends on both material incentives and the social meaning attached to behavior.

2 Model environment and key objects

2.1 Core actors, action, and environment

- A continuum of agents chooses a binary action $a \in \{0, 1\}$.
- Taking action $a = 1$ is the prosocial behavior. It involves a private cost $c_\theta > 0$, generates an externality $\varepsilon_\theta > 0$ on others, and yields an incentive y set by a principal.
- The principal can be interpreted as a government, an employer, or another policymaker.
- The environment is indexed by a parameter $\theta \in \Theta$. Under symmetric information everyone knows θ ; under expressive-law sections the principal knows it privately.

Interpretation. The paper is deliberately general. The same structure can represent tax compliance, pollution, workplace effort, civic behavior, or criminal deterrence.

2.2 Utility function: intrinsic motive, externality, and image

The core utility specification is

$$U = (ve_\theta - c_\theta + y)a + \varepsilon_\theta \bar{a}_\theta + m_\theta(E[\tilde{v} \mid a, y] - \bar{v}_\theta). \quad (1)$$

The components are:

- v : the agent's intrinsic prosocial type;
- e_θ : the intensity with which intrinsic motivation is attached to the act;
- y : the material incentive;
- $\varepsilon_\theta \bar{a}_\theta$: the benefit from aggregate prosocial behavior in society;
- $m_\theta(E[\tilde{v} \mid a, y] - \bar{v}_\theta)$: image, esteem, or self-image payoffs.

The paper writes

$$e_\theta = g\varepsilon_\theta + (1 - g), \quad g \in [0, 1], \quad (2)$$

so intrinsic motivation combines a *consequentialist* component (caring about the externality) and a *warm-glow* component.

Interpretation. The model has exactly three motives: do the right thing because you care, because you are paid, or because you want to be seen as the kind of person who does it.

2.3 Types, distributions, honor, stigma, and reputational return

Agents differ only in their prosocial type v , distributed according to $F_\theta(v)$ with density $f_\theta(v)$ and hazard rate $h_\theta(v)$.

Given a cutoff v^* , the paper defines the average type among contributors and noncontributors as

$$E_\theta^1(v^*) = E_\theta[\tilde{v} \mid \tilde{v} \geq v^*], \quad E_\theta^2(v^*) = E_\theta[\tilde{v} \mid \tilde{v} < v^*]. \quad (3)$$

The net reputational incentive to contribute is then

$$\Delta_\theta(v^*) = m_\theta(E_\theta^1(v^*) - E_\theta^2(v^*)). \quad (4)$$

Interpretation.

- $E_\theta^1(v^*)$ is the **honor** or pride associated with contributing.
- $E_\theta^2(v^*)$ is the **stigma** or shame attached to not contributing.
- $\Delta_\theta(v^*)$ is the net social pressure to choose $a = 1$.

2.4 Cutoff equilibrium and the social multiplier

Because higher types care more about prosocial behavior, equilibrium is characterized by a cutoff rule. The marginal type satisfies

$$v_\theta^*(y)e_\theta - c_\theta + y + \Delta_\theta(v_\theta^*(y)) = 0. \quad (5)$$

Aggregate participation is therefore pinned down by the cutoff.

The paper defines the social multiplier as

$$s_\theta(y) = -\frac{\partial v_\theta^*}{\partial y} = \frac{1}{e_\theta + \Delta'_\theta(v_\theta^*(y))}. \quad (6)$$

Interpretation.

- If $\Delta'_\theta(v^*) < 0$, social pressure strengthens when more people comply. Actions are strategic complements: this is a **norm**.
- If $\Delta'_\theta(v^*) > 0$, actions are strategic substitutes: this is an **antinorm** or distinction effect.
- The direct effect of incentives is amplified or dampened by the endogenous change in social pressure.

2.5 Respectable, admirable, and modal acts

With a unimodal type distribution, the paper distinguishes three cases:

- **Respectable acts.** The action is common. Stigma for not doing it is strong, so social pressure rises with prevalence.
- **Admirable acts.** The action is rare. Honor for doing it is strong, so incentives can crowd out its distinction value.
- **Modal acts.** Both doing and not doing the act are common. Social inference is weak, so social pressure is at its minimum.

Interpretation. This three-way classification is central. It explains why the same subsidy can be weakly effective for heroic acts but highly effective for ordinary norm-following behavior.

2.6 The principal’s objective function and the cost of incentives

Under symmetric information, the principal chooses y to maximize

$$W_{\theta}^{SI}(y) = \int_{v_{\theta}^*(y)}^{\infty} (ve_{\theta} + \varepsilon_{\theta} - c_{\theta} - \lambda y) f_{\theta}(v) dv, \quad (7)$$

where $\lambda \geq 0$ is the shadow cost of public funds or, more generally, the deadweight cost of providing incentives.

Interpretation.

- If $\lambda = 0$, incentives are costless and the principal can directly implement the first best.
- If $\lambda > 0$, incentives are costly and the principal wants to economize on them by leveraging intrinsic and reputational motives.

2.7 Information structure for expressive law

In the expressive-law part of the paper, the principal privately knows θ , while agents only know that it lies in an interval $[\theta_1, \theta_2]$.

- Agents observe the incentive y chosen by the principal.
- They infer a posterior belief $\hat{\theta}(y)$ from that policy choice.
- The cutoff and participation decisions therefore depend on y both *directly* and *through beliefs*.

Interpretation. This is what makes law “expressive.” The policy changes behavior not only through money, fines, or rewards, but also through the message that those instruments send.

3 Core model and theoretical results (all equations + interpretation)

3.1 Baseline mechanism and hypotheses

The theory works through two distinct channels:

- a **social multiplier**: incentives change participation, participation changes honor and stigma, and that feeds back into participation;
- an **informational multiplier**: when the principal is better informed, incentives signal information about the environment and thereby change intrinsic and reputational motivations.

Interpretation. The same legal instrument has a direct price effect, a social-equilibrium effect, and sometimes a signaling effect.

3.2 Symmetric-information equilibrium: honor, stigma, and the U-shape of social pressure

Lemma 1 shows that when the type distribution is unimodal, the reputational-return function $\Delta_\theta(v^*)$ is quasiconvex. In practice this means:

- social pressure is *high* when the act is very common, because noncompliers suffer strong stigma;
- social pressure is also *high* when the act is very rare, because contributors receive high honor;
- social pressure is *lowest* for modal acts in the middle.

Interpretation. The model endogenizes both conformity motives and distinction motives. Earlier literatures often treated them as separate assumptions; here they come out of the same signaling logic.

3.3 Modified Pigou and Ramsey taxation

Proposition 1 gives the core symmetric-information result.

If incentives are costless, the optimal subsidy is

$$y_\theta^{FB} = \varepsilon_\theta - \Delta_\theta\left(\frac{c_\theta - \varepsilon_\theta}{e_\theta}\right). \quad (8)$$

If incentives are costly, the second-best subsidy satisfies

$$y_\theta^{SI} = \frac{\varepsilon_\theta - \Delta_\theta(v_\theta^*(y_\theta^{SI}))}{1 + \lambda} - \frac{\lambda}{(1 + \lambda)h_\theta(v_\theta^*(y_\theta^{SI}))s_\theta(v_\theta^*(y_\theta^{SI}))}. \quad (9)$$

Interpretation.

- Standard Pigou says: subsidize the act by its external benefit.
- This paper says: subtract the **reputational rent**. Image is a positional, zero-sum good, so society should not subsidize that part.
- With costly incentives, there is an additional Ramsey-style term that pushes the subsidy lower.

The paper also shows that with $\lambda > 0$ there is always underprovision of the prosocial behavior in the second best.

3.4 Uniform shifts in societal values and hump-shaped incentives

Suppose the distribution of prosocial types shifts uniformly, $F_\theta(v) = F(v - \theta)$. Then the cutoff obeys

$$v_\theta^*(y) - \theta = v_0^*(y + \theta e), \quad (10)$$

so a better society (higher θ) acts much like a higher material incentive.

Proposition 2 shows that the optimal subsidy is **single peaked** in both societal goodness and private cost. It is highest for modal acts and lowest for acts that are already either highly honorable or strongly stigma-enforced.

Interpretation.

- If a behavior is already common, shame does much of the enforcement work.
- If it is already rare and noble, honor does much of the work.
- The gray zone is where policy must work hardest.

The paper explicitly draws implications for donations, fair-trade and green products, and technologies such as electric vehicles: optimal subsidies need not rise monotonically as adoption spreads.

3.5 Comparative statics typology: motivation-enhancing and policy-monotone shifts

The paper defines:

- **M1 (motivation enhancing)**: a higher parameter value raises agents' nonextrinsic motivation and lowers the equilibrium cutoff;
- **M2 (motivation reducing)**: a higher parameter value does the opposite;
- **P1**: a higher parameter value raises the optimal incentive;
- **P2**: a higher parameter value lowers the optimal incentive.

Key cases from Table 1 are:

- a larger externality ε gives **(M1, P1)**;
- stronger social monitoring m gives **(M1, P2)**;

- a mean-preserving spread in types gives **(M1, P2)**;
- truncating the type distribution gives **(M2, P1)**;
- a higher private cost c can give **(M2, P1)** for norms or **(M2, P2)** for antinorms.

Interpretation. This four-cell taxonomy becomes the master key for the expressive-law results: once we know how a parameter affects motivation and the symmetric-information policy, we know whether informational concerns should make the law softer or tougher.

3.6 Expressive law with costless versus costly incentives

Under asymmetric information, agents infer $\hat{\theta}(y)$ from the principal's policy. The principal's objective becomes

$$W_{\theta}^{AI}(y) = \int_{v_{\hat{\theta}(y)}^*}^{\infty} (ve_{\theta} + \varepsilon_{\theta} - c_{\theta} - \lambda y) f_{\theta}(v) dv. \quad (11)$$

So the chosen incentive affects welfare both directly and through the belief term $\hat{\theta}(y)$.

Proposition 3 states a sharp benchmark: if $\lambda = 0$, the first-best policy remains an equilibrium. The principal has no reason to distort the law's message when she can achieve the desired compliance level directly with a costless instrument.

Interpretation. Expressive law only matters when incentives are costly or distorted for other reasons. If the planner can fine or subsidize freely, there is no reason to manipulate beliefs.

3.7 Soft law versus tough law

Proposition 5 gives the headline result. When a separating equilibrium exists:

- if motivation and policy monotonicity have **opposite signs**, expressive concerns make the law **softer**: $y_{\theta}^{AI} < y_{\theta}^{SI}$;
- if they have the **same sign**, expressive concerns make the law **tougher**: $y_{\theta}^{AI} > y_{\theta}^{SI}$.

The key examples are:

- **Soft law**: when incentives signal that society is already prosocial or that norms are strong.
- **Tough law**: when incentives signal that the external harm from misconduct is large.

Interpretation. A low-powered law can sometimes be optimal precisely because it tells people: “we do not need harsh incentives here because society itself strongly disapproves of the bad action.” By contrast, a harsh law may be optimal when it tells them: “this behavior is very harmful.”

3.8 When expressive law separates, pools, or fails

Proposition 6 introduces two incentive-compatibility conditions, labeled SOC1 and SOC2, that determine whether the separating solution to the first-order condition is globally sustainable.

The bottom line from propositions 7–9 is:

- **Separating expressive law exists** when the privately informed variable is societal goodness under a norm, right truncation of the type distribution, the externality, or compliance cost under an antinorm.
- **Full pooling** arises when the law tries to signal social vigilance or certain left-truncation cases. Then the law cannot be expressive in equilibrium.
- **No separating equilibrium exists** for some cases such as a goodness shift under an antinorm or cost uncertainty under a norm.

Interpretation. The paper’s message is disciplined: expressive law is not always feasible. Whether it works depends on whether the type of principal who most wants to send a message can do so credibly.

3.9 Direct disclosure, pluralistic ignorance, and norms-based interventions

Section V turns off incentive choice and lets the principal communicate directly. With probability q , the principal learns the true state and can disclose it or stay silent.

Proposition 10 shows:

- the principal discloses **good news** and hides **bad news**;
- disclosure follows a cutoff rule in the underlying state;
- more precise information (higher q) leads to more disclosure in stable equilibrium.

Interpretation. Norms-based interventions face a credibility problem. Even a benevolent policy-maker wants to trumpet favorable information about society and suppress unfavorable information, so rational agents discount silence.

The paper then interprets this in terms of **pluralistic ignorance**: people may observe behavior but misread the norm underlying it, and communication can correct or exploit that misperception.

3.10 Extensions: commodification spillovers, broken windows, and civilized punishment

Section VI broadens the framework beyond a single activity.

Commodification spillovers. Proposition 11 studies two activities, one ruled mainly by informal norms and another governed by formal incentives. Strong incentives in the formal domain can signal that society is selfish or untrustworthy, thereby *weakening norms* in the informal domain. The equilibrium implication is soft law in the incentivized activity.

Broken windows logic. If visible disorder is repaired, the principal can avoid signaling that local norms are weak. Repair then works as strategic nondisclosure of bad news about community standards.

Cruel and unusual punishments. The paper studies a choice between cheap but cruel punishments and costlier humane ones. Under asymmetric information, the principal may optimally choose *less cruel* punishments than under symmetric information in order to signal that society is civilized and not vindictive.

Interpretation. These extensions are important because they show that the framework is not just about taxes and subsidies. It also explains resistance to economists' "price everything" prescriptions, the symbolic role of cleanup and order, and why societies sometimes pay to avoid punishments they regard as barbaric.

4 Equilibrium logic and assumptions (what makes the results credible)

4.1 Why incentives can crowd in or crowd out norms

The key force is whether social pressure comes from stigma or honor.

- For **respectable** acts, more compliance makes noncompliance look worse. Incentives and norms reinforce each other.
- For **admirable** acts, wider compliance erodes distinction. Incentives can crowd out honor.

Interpretation. This is why the same subsidy can be powerful for tax compliance but comparatively weak for heroic sacrifice.

4.2 Why reputation enters optimal taxation as a negative term

Image is privately valuable but socially positional. If one person looks virtuous because she contributes, someone else looks worse by comparison.

- The principal therefore should not subsidize the reputational component of the act.
- In the optimal-tax formula, the reputation term enters with a minus sign.

Interpretation. Standard Pigou corrects externalities. This paper adds a correction for the fact that some of what looks like "motivation" is just a transfer in social image.

4.3 Why costless incentives eliminate expressive distortions

When $\lambda = 0$, the principal can implement the desired cutoff exactly with the incentive itself. Any attempt to distort the law's message would create no additional benefit.

Interpretation. The expressive function of law is not free-standing. It matters only when ordinary instruments are costly, constrained, or otherwise imperfect.

4.4 Why separating equilibrium depends on incentive compatibility

The paper's SOC conditions capture a basic logic:

- if the type of principal who most wants to send a certain message is also the type for whom that signal is privately cheapest, separation can be sustained;
- otherwise the wrong type wants to mimic, and the equilibrium either pools or fails to separate.

Interpretation. This is the reason the paper can say more than “law sends messages.” It specifies when the message is actually believable.

4.5 What the paper can and cannot distinguish

- The framework cleanly separates direct incentives, social multipliers, and informational multipliers.
- But it does not empirically identify whether real-world behavior is driven more by naive extrapolation, self-image, social image, reciprocity, or conformity in any given application.
- The core model is intentionally sparse: binary action, one main source of heterogeneity, and a linear image benchmark.

Interpretation. The power of the paper is generality and taxonomy, not fully micro-identifying every behavioral channel in the data.

4.6 Relation to the literature and what is new

The paper unifies three literatures that are often treated separately:

- economics of incentives and crowding out,
- legal theories of expressive law,
- psychology and experimental work on norms-based interventions.

What is new is the single framework linking all three, together with explicit optimal-tax formulas, a soft-law/tough-law taxonomy, and clear equilibrium conditions for when expressive law can and cannot work.

5 Tables and figures

5.1 Figure 1: distribution of types and the U-shape of reputational return

Read:

- Panel A shows the distribution of intrinsic prosocial types and the cutoff separating contributors from noncontributors.
- Panel B shows that the reputational return to contributing is lowest in the middle of the distribution and higher in both tails.
- When few people contribute, contributors earn honor. When almost everyone contributes, noncontributors suffer stigma.

Economic message. The same reputational mechanism generates both conformity and distinction. This is the basic reason incentives can crowd in or crowd out norms.

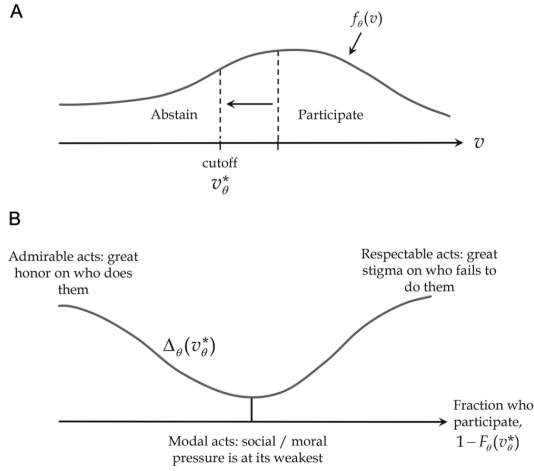


FIG. 1.—*A*, Distribution of preferences. The line $f_\theta(v)$ plots the distribution of intrinsic preferences v . The participation cutoff v_θ^* separates agents who choose the prosocial action ($a = 1$) and those who do not ($a = 0$). The shift (arrow) illustrates the changes in the sets of agents choosing each action as the participation cutoff decreases. *B*, Reputational return. The line $\Delta_\theta(v_\theta^*)$ plots an individual's net image return to choosing the prosocial action ($a = 1$) as a fraction of the equilibrium fraction $1 - F_\theta(v_\theta^*)$ of agents choosing that same action.

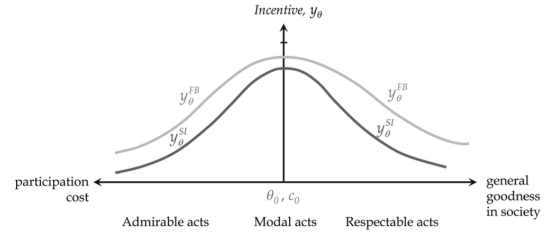


FIG. 2.—Formal incentives, societal values, and participation costs. The two lines plot the optimal incentive rate for each level of the distributional shift θ in societal preferences or the participation cost c under symmetric information between principal and agents. The top line, y_θ^0 , corresponds to the first-best situation in which incentives are costless ($\lambda = 0$); the bottom line, y_θ^c , obtains when they are costly.

5.2 Figure 2: optimal incentives are hump shaped

Read:

- The figure plots optimal incentives against societal goodness and, equivalently, participation cost.
- The first-best schedule is hump shaped; the second-best lies below it but keeps the same qualitative form.
- Subsidies are largest for modal acts and smaller for behaviors already enforced by honor or stigma.

Economic message. Social pressure is weakest in the middle, so material incentives are most useful there. This is one of the paper's most distinctive theoretical predictions.

5.3 Table 1: the four-quadrant typology of motivation and policy

Read:

- Table 1 sorts parameter changes by whether they are motivation enhancing or reducing and whether they call for stronger or weaker incentives under symmetric information.
- Externalities sit in the $(M1, P1)$ quadrant.
- Social monitoring and mean-preserving spreads sit in $(M1, P2)$.
- Truncations and some cost cases sit in $(M2, P1)$ or $(M2, P2)$ depending on whether the act is a norm or an antinorm.

Economic message. This table is the paper's organizing map. Once a parameter is located in the table, the direction of expressive distortions becomes predictable.

TABLE 1 COMPARATIVE STATICS OF INDIVIDUAL MOTIVATION AND OPTIMAL INCENTIVES		
	θ Is Motivation Enhancing (M^+)	θ Is Motivation Reducing (M^-)
Increase in θ leads to higher incentives (P^+)	Externality ($\theta = e$)	Distribution F_θ when θ is a truncation parameter; Distribution F_θ when θ is a parameter of goodness and $\Delta'_\theta > 0$;
Increase in θ leads to lower incentives (P^-)	Intensity of social monitoring ($\theta = \mu$); Distribution F_θ , where θ is a mean-preserving spread; Distribution F_θ when θ is a parameter of goodness and $\Delta'_\theta < 0$	Agent's cost ($\theta = c$) when $\Delta' < 0$ Agent's cost ($\theta = c$) when $\Delta' > 0$

NOTE.—The table displays the comparative statics of individual motivation ($-u'_\theta$) and the optimal incentive rate (y_θ^*) for the different parameters of the economic environment that θ can represent. Each quadrant shows the cases in which an increase in θ is motivation enhancing or reducing (M^+/M^-) and calls for stronger or weaker incentives (P^+/P^-) under symmetric information.

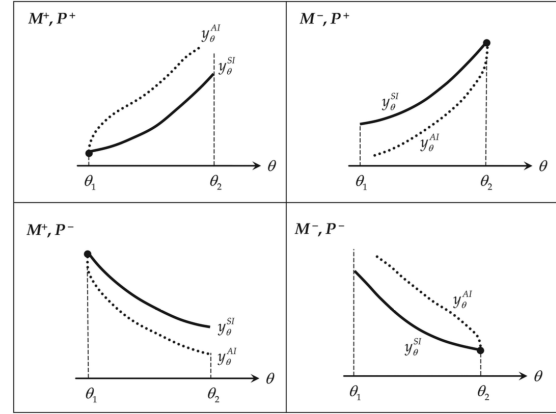


FIG. 3.—Equilibrium incentives under symmetric and asymmetric information. Each quadrant plots the optimal incentive rate as a function of the generic parameter θ . Lines denoted y_θ^{SI} obtain when there is symmetric information between principal and agents about θ ; lines denoted y_θ^{AI} obtain when the principal has private information about it. The four quadrants correspond to different cases of what θ can represent: they map into the four quadrants in table 1, in which a higher θ can be either motivation enhancing or motivation reducing (M^+/M^-) and can call for either stronger or weaker incentives (P^+/P^-) under symmetric information.

5.4 Figure 3: when law should be softened or toughened

Read:

- Figure 3 compares the symmetric-information incentive schedule with the asymmetric-information one across the four M/P cases.
- In the off-diagonal cases the expressive law is softer than the symmetric-information benchmark.
- In the diagonal cases it is tougher.

Economic message. The figure translates the theory into an intuitive visual rule: whether the law becomes softer or tougher depends on whether the information that the law conveys works with or against the direct incentive effect.

6 Short summary

- The paper builds a unified theory of incentives, norms, and expressive law.
- Agents care about intrinsic motives, material incentives, and social image. This creates endogenous honor and stigma.
- Under symmetric information, optimal policy is a modified Pigou-Ramsey rule that subtracts positional image rents.
- Optimal incentives are hump shaped: highest where social pressure is weakest.
- Under asymmetric information, the law becomes expressive. It should be softer when it signals strong norms or high prosociality, and tougher when it signals large external harm.
- Expressive law is not always feasible: some cases separate, some pool, and some admit no separating equilibrium.
- Direct disclosure, commodification spillovers, broken windows logic, and civilized punishments all fit naturally into the same framework.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

The paper establishes that optimal policy must account for two endogenous feedbacks: how incentives reshape social pressure through honor and stigma, and how the law itself conveys information about society's values or the magnitude of harms. These two feedbacks generate modified tax formulas, hump-shaped optimal incentives, and precise conditions for soft versus tough law.

7.2 Economic intuition

People do not respond only to prices. They also respond to what behavior says about character and to what policy says about society. A good law therefore works partly by changing beliefs about what others value, tolerate, or condemn.

7.3 Takeaway

The deepest message of the paper is that law is both an incentive system and a communication device. Once that is recognized, weaker law can sometimes be stronger, harsher law can sometimes be optimal, and even humane punishments or cleanup campaigns can be understood as rational tools for shaping norms.